Day Trading Mastery

Module 6 Study Guide

Psychology of Trading

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Recognising Emotional Triggers in Trading

In this lesson: Emotional Triggers; Fear and Greed; The Cost of Frustration; The Pause Routine

Key points

- Identify fear, greed, and frustration instantly
- Emotional revenge trading destroys trading balances
- Pause and step away to protect capital

Examples from the lesson

- Today, we are opening Module 6, Psychology of Trading, with Lesson 1: Recognising Emotional Triggers in Trading.
- Since this is our first lesson in Module 6, let us set our focus on the real battleground.
- Imagine you have a TT$ 10,000 trading account set up for disciplined day trading.
- On your first trade of the morning, you follow your rules and risk TT$ 200 on a clean setup.
- The market hits your stop loss, leaving you with a TT$ 200 loss and a balance of TT$ 9,800.
- You risk TT$ 500 on a weak setup without waiting for proper confirmation.
- The market drops rapidly against you, hitting another stop loss and racking up a TT$ 500 loss on that trade.
- Now your account balance sits at TT$ 9,300, giving you a total loss of TT$ 700 for the morning.
- That single emotional decision cost you more than three times your original planned risk allowance.
- If you had recognised the frustration after trade one and paused for fifteen minutes, your account would still sit safely at TT$ 9,800.
- Take five deep breaths, pour a glass of cold water, and step outside for five minutes before taking another trade.
- Next up in Lesson 2, we will focus on Building Discipline and Patience.

Lesson 2: Building Discipline and Patience

In this lesson: Managing Impulse Trades; Setting Pre-Market Routines; Disciplined Capital Prot

Key points

- Avoid chasing market moves already in motion
- Use price alerts and strict written checklists
- Maintain disciplined TT$ 200 risk limits per setup

Examples from the lesson

- We are continuing Module 6, Psychology of Trading, with Lesson 2: Building Discipline and Patience.
- Imagine you have a day trading account starting with TT$ 10,000 in capital.
- Your strict risk management rule states that you will never risk more than 2% of your total balance on a single trade setup.
- Two percent of TT$ 10,000 equals a maximum risk limit of TT$ 200 per trade.
- You spot an asset moving fast and feel the urge to chase it late, which would force a wider stop-loss costing TT$ 500 if it fails.
- By sticking to your written discipline routine, you pass on the bad entry and wait for a proper retracement setup that respects your TT$ 200 risk boundary.
- When that disciplined setup finally triggers, your risk remains locked at TT$ 200 while targeting a conservative 2-to-1 reward ratio.
- A successful disciplined trade yields a profit of TT$ 400 instead of a reckless loss.
- Subtracting your defined risk of TT$ 200 from your gross gain of TT$ 400 leaves you with a net profit of TT$ 200 on that disciplined execution.
- More importantly, avoiding the impulsive trade protected your TT$ 10,000 core balance from an unnecessary TT$ 500 drawdown.

Lesson 3: Reviewing Setbacks and Trading Sustainably

In this lesson: Recognise emotional reactions; Review losses using a journal; Protect capital wi

Key points

- Review losing trades and separate process from outcomes
- Respect risk limits and protect essential money
- Reset your mindset and prioritise sustainable habits

Examples from the lesson

- You are watching Day Trading Mastery, Module 6: Psychology of Trading, Lesson 3: Reviewing Setbacks and Trading Sustainably.
- Step one is to recognise when your emotions are influencing your decisions. After several losses, ask yourself three questions. Am I following my trading plan?
- Step two is to review the process, not just the financial result.

- Now let’s work through one example using Trinidad and Tobago dollars. Suppose your trading account starts with TT$10,000. Your written plan limits the risk on each trade to one per cent of your current account balance.
- Your first three trades each lose TT$100, TT$99, and TT$98.01 respectively, assuming you recalculate the one-per-cent limit after each loss.
- Your account falls from TT$10,000 to TT$9,900, then TT$9,801, and finally TT$9,702.99. The total loss is TT$297.01. Notice that the losses become slightly smaller because your risk limit is based on the reduced balance.
- Step three is to protect your remaining capital.
- Step four is to reset your mindset and protect your wellbeing.
- Your next trade does not owe you compensation for the previous one.

Recap checklist — can you say each one?

Lesson 1: Recognising Emotional Triggers in Trading

- ☐ Identify fear, greed, and frustration instantly
- ☐ Emotional revenge trading destroys trading balances
- ☐ Pause and step away to protect capital

Lesson 2: Building Discipline and Patience

- ☐ Avoid chasing market moves already in motion
- ☐ Use price alerts and strict written checklists
- ☐ Maintain disciplined TT$ 200 risk limits per setup

Lesson 3: Reviewing Setbacks and Trading Sustainably

- ☐ Review losing trades and separate process from outcomes
- ☐ Respect risk limits and protect essential money
- ☐ Reset your mindset and prioritise sustainable habits